

ECONOMICS PAPER 1

(Mock Test 34)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Tracy is a university graduate who is looking for a job. She has several options and her order of preference is shown below:

First option: to work as an e-sports athlete in a company

Second option: to work as an administrative officer in the government

Third option: to continue studying for a master's programme at university

Which of the following factors would **LEAST** likely affect Tracy's cost-benefit analysis for her choice?

- A. The government lowers the starting salary of administrative officers.
 - B. The government waives tuition fees for master's programmes.
 - C. The government actively promotes the development of the local e-sports industry.
 - D. The employment prospects for graduates of the master's programme are not as good as before.
2. After spending \$100,000 studying a human resources course, Mr. Chan is hired by company A as a human resources manager with a monthly salary of \$25,000. Later, company B offers to hire Mr. Chan as a marketing assistant with a monthly salary of \$22,000.

Which of the following is Mr. Chan's opportunity cost of switching to work for company B?

- A. the \$3,000 difference in salary between company A and company B
 - B. the monthly salary of \$22,000 provided by company B
 - C. the monthly salary of \$25,000 provided by company A
 - D. the monthly salary of \$25,000 provided by company A and the tuition fee of \$100,000 for studying the human resources course
3. To cope with the increasing paper costs, the government decides to implement e-Government services, replacing the distribution of leaflets and application forms for various services to the public.

This is an example of using _____ to solve the problem of _____.

- A. market mechanism ... 'what to produce'
 - B. market mechanism ... 'how to produce'
 - C. government command ... 'what to produce'
 - D. government command ... 'how to produce'
4. Little Star Dancing School is a sole proprietorship. To expand the business, its owner changes the firm's form of business ownership to a private limited company and introduces more shareholders. After the change,
- (1) the school is required to pay a higher profits tax rate.
 - (2) the school will enjoy lasting continuity.
 - (3) the school can issue shares to the public to raise capital.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
5. Which of the following statements about private goods is **CORRECT**?
- A. The extra cost of serving an additional consumer to use a private good is greater than zero.
 - B. Private goods are goods provided by private enterprises.
 - C. Free television programmes produced by private television stations are examples of private goods.
 - D. Private goods are goods that directly satisfy human wants.

6. Which of the following is the least mobile in terms of occupational mobility in a secondary school?
- a school bus driver
 - a principal
 - a security guard
 - a teaching assistant
7. Country A is facing a labour shortage. The government strives to encourage more foreign professionals to migrate to work in Country A and relaxes the entry requirements for various professionals. This will cause
- Country A's labour supply to increase.
 - the geographical mobility of labour of Country A to increase.
 - Country A's average labour productivity to increase.
- (3) only
 - (1) and (2) only
 - (1) and (3) only
 - (1), (2) and (3)
8. The table below shows the production plan of a firm. It employs only labour and machines.

Labour (units)	Machines (units)	Average product (units)
2	10	6
3	10	9
4	10	12
5	10	14
6	10	15

Diminishing marginal returns sets in when the _____ unit of labour is employed, and the corresponding marginal product of labour is _____ units.

- 5th ... 20
 - 5th ... 22
 - 6th ... 20
 - 6th ... 22
9. The table below shows the cost-output relationship of a price-taking firm. The fixed cost of the firm is \$1.

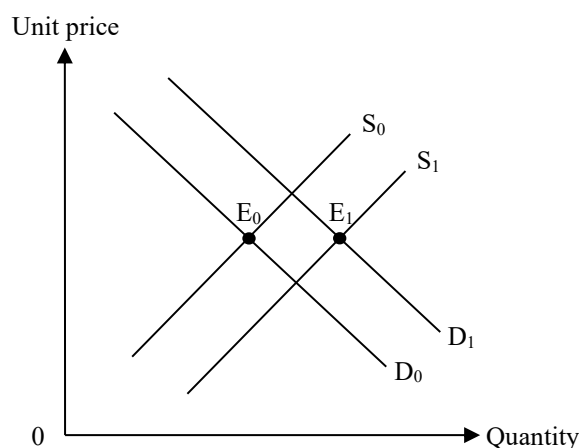
Output (units)	Total cost (\$)
1	5
2	11
3	19
4	29
5	41

Suppose the market price decreases from \$12 to \$8 and the fixed cost of the firm increases by \$2. As a result, the profit-maximising output of the firm will _____ while the producer surplus will _____.

- decrease by 1 unit ... decrease by \$6
- decrease by 1 unit ... decrease by \$16
- decrease by 2 units ... decrease by \$6
- decrease by 2 units ... decrease by \$14

10. Which of the following is **INCONSISTENT** with the law of demand?
- (1) When the government reduces unemployment benefits, the number of unemployed people will increase.
 - (2) During cold spells, both the quantity transacted and the price of heaters will increase.
 - (3) When the government raises the admission fee for public swimming pools, the average time of people staying in the swimming pools will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
11. When the price of _____ decreases, the supply of _____ will decrease.
- A. flour ... bread
 - B. wooden furniture ... wood chips
 - C. tutorial services ... tutors
 - D. cross-harbour bus service ... cross-harbour rail service

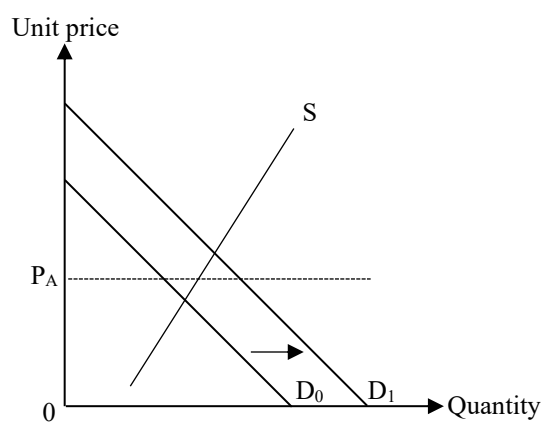
12. The following is the demand-supply diagram of the private courier service market. E_0 is the original equilibrium point.



Which of the following events occurring simultaneously may explain the change in the equilibrium point from E_0 to E_1 ?

- (1) The government postal institution lowers its courier service charges.
 - (2) Many couriers switch to other industries due to an increase in average wage in other industries.
 - (3) People use online shopping services more often.
 - (4) Courier companies introduce artificial intelligence (AI) to assist in the distribution of mail.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only
13. As more people believe that taking vitamin pills can help maintain good health, the price of vitamin pills has increased by 10% whereas the quantity transacted has changed by 50%. Which of the following best explains the above changes in price and quantity transacted of vitamin pills?
- A. The government sets up strict licensing requirements for vitamin pill manufacturers.
 - B. Vitamin pill manufacturers have spare production capacity.
 - C. The nutrients of vitamin pills can be obtained from food.
 - D. Taking vitamin pills is a habit to consumers.

14. The government decides to provide a per-unit subsidy of \$6 to battery manufacturers. Suppose the equilibrium price of batteries before the provision of the subsidy is \$30. If the elasticity of demand for batteries is higher than the elasticity of supply, the equilibrium price after the provision of the subsidy can be _____.
- (1) 24
 (2) 27
 (3) 29
 (4) 30
- A. (1) only
 B. (3) only
 C. (1) and (2) only
 D. (3) and (4) only
15. The following shows the supply and demand curves for good X. The government imposes a price floor on good X at P_A .



Suppose the demand for good X increases from D_0 to D_1 . Which of the following statements about the market for good X are **CORRECT**?

- (1) Consumers' total expenditure will increase.
 (2) The market of good X will change from having a surplus to a shortage.
 (3) Consumer surplus will increase.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

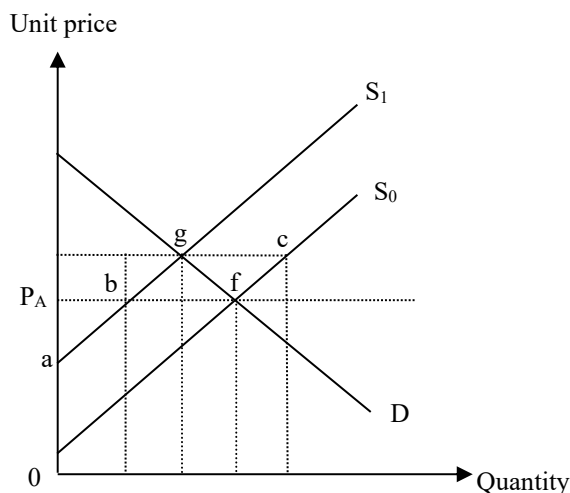
16. Refer to the following demand-supply schedule of good X.

Unit price (\$)	10	11	12	13	14	15
Quantity demanded (units)	45	40	35	30	25	20
Quantity supplied (units)	25	30	35	40	45	50

If the government imposes a per-unit tax of \$2 on good X,

- (1) within the range of the original and new market prices, the demand for good X is inelastic.
 - (2) producers' total revenue net of tax will decrease.
 - (3) consumers and producers bear the same tax burden.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)
17. Which of the following can explain why the market structure of cha chaan tengs (茶餐廳) in Hong Kong is **NOT** perfectly competitive?
- A. Cha chaan tengs engage in non-price competition.
B. Many customers visit cha chaan tengs every day.
C. Cha chaan tengs are free to leave the market.
D. There are many cha chaan tengs in the market.
18. Suppose the marginal benefit per unit of rice decreases. Which of the following statements are **CORRECT**?
- (1) Economic efficiency will be worsened.
 - (2) Producer surplus will decrease.
 - (3) The marginal cost of the last unit of rice will decrease.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

19. The following diagram shows the supply and demand curves for good X.



Suppose the supply of good X changes from S_0 to S_1 and the government sets a price ceiling at P_A . Which of the following statements are **CORRECT**?

- (1) The marginal benefit will be greater than the marginal cost.
- (2) There is over-production for good X.
- (3) The new producer surplus will be area P_Aba .
- (4) The deadweight loss will be area cfg .

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

20. Some stores often play advertisements loudly and repeatedly, and nearby residents complain about being disturbed by the noise without receiving any compensation. Which of the following statements are **CORRECT**?

- (1) There is a divergence between private and social costs and the quantity of advertisements played is higher than the efficient level.
- (2) If the stores compensate those nearby residents, the divergence between private and social costs will decrease.
- (3) If the government imposes fines on these stores, the divergence between private and social costs will be eliminated.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

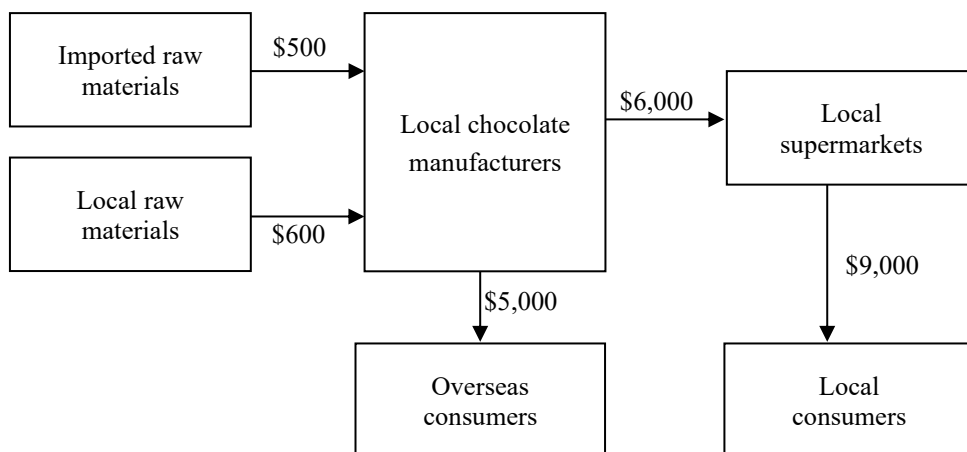
21. Refer to the following proposals in Country A.

Proposal (1): increasing transfer payments to low-income people Proposal (2): increasing the basic allowance for salaries tax Proposal (3): increasing the amount of municipal solid waste charging

Which of the above proposals will reduce Country A's Gini coefficient based on household disposable income?

- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1) and (2) only
22. Income inequality among insurance agents tends to be greater than that among waiters. Which of the following is a possible reason for this phenomenon?
- A. Compared to waiters, there are fewer people working as insurance agents.
 - B. Compared to waiters, people working as insurance agents are younger.
 - C. Compared to waiters, insurance agents have a larger difference in natural abilities.
 - D. Compared to waiters, insurance agents have a smaller difference in educational qualifications.
23. Which of the following would be included in the calculation of Hong Kong's gross domestic product (GDP) for the current year?
- A. funds raised by a student from selling flags on Saturdays
 - B. the estimated rental value of an owner-occupied unit
 - C. the capital gain earned by an investor from selling shares in the stock market
 - D. the value of a new residential unit built last year that was purchased by an investor

24. The following diagram shows a production chain of chocolates in Country A.



Suppose a \$300 subsidy is provided to the local chocolate manufacturers by the government. The contribution of the above production chain to Country A's GDP at market prices is _____.

- A. \$12,900
- B. \$13,200
- C. \$13,500
- D. \$13,800

25. Refer to the following data for an economy.

	Growth rate (relative to the previous year)
Per capita nominal GDP	0%
Real GDP	1%
Population	–3%

Compared to the previous year, the general price level has _____ and the per capita real GDP has _____ in the economy in the current year.

- A. increased ... increased
- B. increased ... decreased
- C. decreased ... increased
- D. decreased ... decreased

26. The following table shows the gross domestic product (GDP) data of an economy for a certain year.

GDP components	\$ million
Changes in inventories	–30
Net domestic fixed capital formation	500
Capital consumption	10
Net exports	100
Net factor income from abroad	150
Indirect taxes	30
Subsidies	50
Direct taxes	70

Which of the following statements about the economy are **CORRECT**?

- (1) The gross domestic fixed capital formation is larger than the net domestic fixed capital formation.
 - (2) The gross national income (GNI) is larger than the GDP.
 - (3) The GDP at market prices is larger than the GDP at factor cost.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

27. In an economy, people's desire to save increases. Which of the following can offset its effect on the economy's price level in the short run?

- A. Producers expect the price level to decrease.
- B. The government raises the minimum wage rate.
- C. The risk of holding interest-bearing assets increases.
- D. The economy's trading partners experience economic recession.

28. In the 2023-24 Budget, the government proposed to provide up to \$1 million for each publicly funded secondary school to organise IT-related extracurricular activities. This would result in an increase in _____.
- (1) aggregate demand
 - (2) short run aggregate supply
 - (3) the potential output
 - (4) the price level in the long run
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (3) only
 - D. All of the above.
29. Which of the following functions is performed by the Hong Kong Monetary Authority?
- A. preparing the Budget of the Hong Kong government
 - B. issuing \$100 banknotes
 - C. providing loans to the public
 - D. managing Hong Kong's official reserves
30. Mr. Wong withdraws HK\$500,000 from his account in a restricted licence bank. He then holds HK\$100,000 as cash and puts HK\$200,000 as time deposits in a licensed bank, and remits the remainder overseas.

What will be the immediate effect of the above actions on the Hong Kong dollar money supply?

- (1) M1 will increase by HK\$100,000.
 - (2) M2 will increase by HK\$200,000.
 - (3) M3 will decrease by HK\$200,000.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
31. The following table shows the balance sheet of the banking system of a country. All banks do not hold excess reserves and the public always hold \$100 million cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	400	Deposits	1,600
Loans	1,200		

If the public withdraw \$100 million from the banking system and remit it overseas,

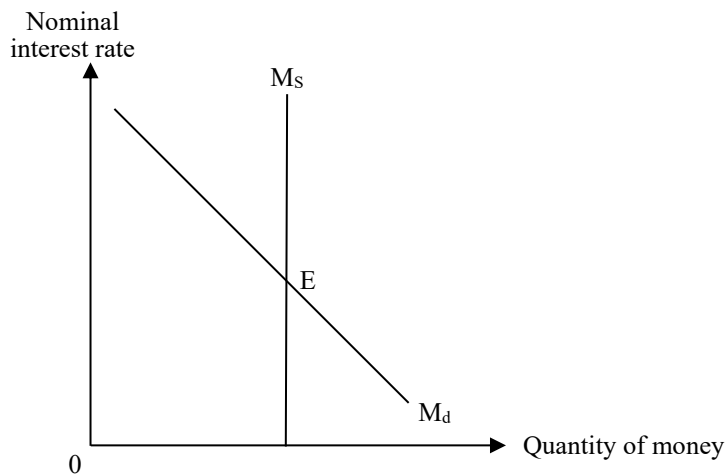
- A. the monetary base will be \$300 million.
- B. the money supply will be \$1,400 million.
- C. the maximum possible amount of deposits will be \$1,500 million.
- D. the maximum possible amount of loans will be \$900 million.

32. Which of the following will cause the money supply to increase while the monetary base remains unchanged?

- (1) The central bank lowers the discount rate.
- (2) The central bank lowers the required reserve ratio.
- (3) The central bank purchases government bonds from the public.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

33. The diagram below shows the money demand and money supply curves of an economy. The initial equilibrium point is at E.



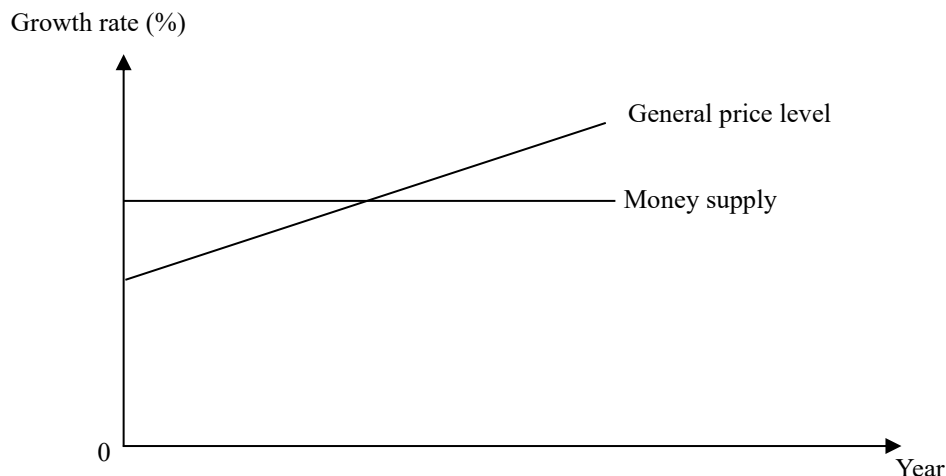
If people are more used to make payments for daily expenses by e-wallets and at the same time the central bank sells government bonds to the public, the quantity of money _____ and the nominal interest rate _____.

- A. will increase ... will decrease
- B. will increase ... may increase or decrease
- C. will decrease ... will increase
- D. will decrease ... may increase or decrease

34. Suppose the actual inflation rate and the nominal interest rate is -3% and 4% respectively. Which of the following statements is **CORRECT**?

- A. The actual real interest rate is 1% .
- B. The cost of holding money is 3% .
- C. The nominal interest rate is lower than the expected real interest rate.
- D. If the expected inflation rate is -1% , the bond issuers will lose.

35. Refer to the following diagram.



According to the quantity theory of money,

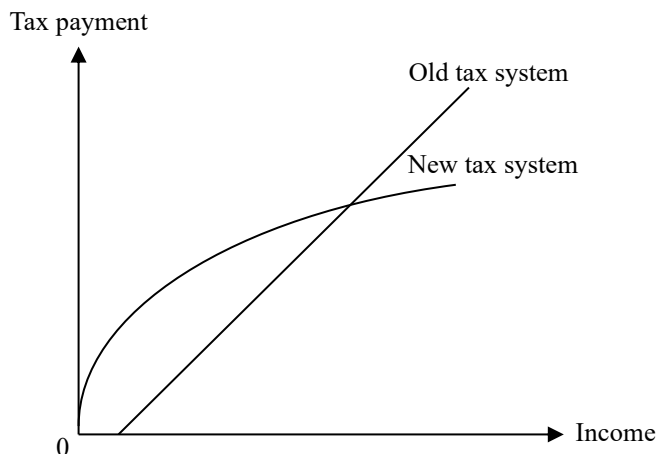
- A. the growth rate of real output is decreasing.
 - B. the inflation rate is decreasing.
 - C. the velocity of circulation of money is increasing.
 - D. the money supply remains unchanged.
36. In Country A, many civil servants have retired in recent years. To reduce government expenditure, the government has decided to fill only part of the job vacancies generated by the retirement wave. As a result, the unemployment rate of Country A _____.
- A. would decrease
 - B. would increase
 - C. would remain unchanged
 - D. cannot be determined
37. Refer to the news report below.

Every passenger aged 12 or above who departs from Hong Kong by air has to pay an Air Passenger Departure Tax of HK\$120. Some people suggest the government to increase the tax to reduce the fiscal deficit.

The above measure is **LEAST** in line with the _____ principle of taxation put forward by Adam Smith.

- A. equity
- B. economy
- C. convenience
- D. certainty

38. The diagram below shows the change in the income tax system in economy A.



Under the new tax system,

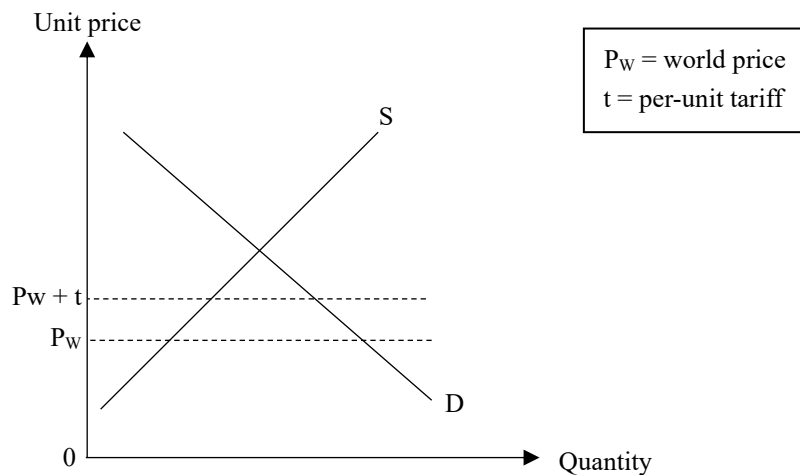
- A. the income distribution will become more uneven.
 - B. fewer people will fall into the tax net.
 - C. the working incentive of all workers will be lower compared to the old tax system.
 - D. the economy will result in a fiscal surplus.
39. Which of the following would offset the effect of a contractionary monetary policy on aggregate output?
- A. abolishing the general sales tax
 - B. raising the profits tax rate
 - C. increasing government budget surplus
 - D. selling government bonds to the public
40. Which of the following may lead to a rise in aggregate output and a deterioration in equity in Hong Kong at the same time?
- A. a cash allowance of HK\$20,000 to parents for each newborn baby
 - B. a reduction in the profits tax rate
 - C. a construction of a new railway spur line
 - D. a provision of electronic learning devices to students from low-income families
41. Suppose the liquidity of interest-bearing assets in an economy decreases. Which of the following policies can stabilise the output level and the interest rate in the economy at the same time in the short run?
- A. The central bank raises the discount rate.
 - B. The central bank lowers the required reserve ratio.
 - C. The government raises the salaries tax rate.
 - D. The government changes the payment of salaries of civil servants from bi-weekly to monthly.

42. Before trade, the output of Country A and Country B with all their resources evenly allocated between the production of computers and bread is shown below:

	Computers (units)		Bread (units)
Country A	20	AND	60
Country B	40	AND	55

If Country A and Country B completely specialise their production and trade with each other, the total output of computers will increase by _____ units and the total output of bread will increase by _____ units.

- A. 5 ... 5
 B. 5 ... 20
 C. 20 ... 5
 D. 20 ... 20
43. The following diagram shows the market of good X in a small open economy. The government imposes an import tariff on good X.



Suppose the world price of good X increases and the demand for good X increases at the same time. Which of the following are **CORRECT**?

- (1) The total expenditure of local consumers on good X will increase.
 (2) The government's tariff revenue from good X may increase, decrease or remain unchanged.
 (3) The domestic production of good X will increase.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

44. Which of the following transactions will be included in the calculation of Hong Kong's current account balance?

- (1) A Hong Kong resident rents a car while travelling in Japan.
- (2) A Hong Kong resident receives a remittance from his relative in Canada.
- (3) A Swedish investor sells the shares of a Hong Kong listed company.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

45. The table below shows the change in the exchange rate between the US dollar (USD) and the Japanese yen (JPY).

	Exchange rate
1 June 2023	1 USD = 139.1 JPY
1 December 2023	1 USD = 148.0 JPY

During the period from 1 June to 1 December 2023, the change in the exchange rate between USD and JPY will lead to _____.

- A. a decrease in the total value of goods imported from Japan to the United States (in terms of the US dollar)
- B. an increase in the total value of goods exported from Hong Kong to Japan (in terms of the Hong Kong dollar)
- C. a decrease in the number of Japanese tourists visiting Hong Kong
- D. an appreciation of the Japanese yen against the Hong Kong dollar

END OF PAPER